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October 28, 2019

Ms. Rachel E. Dickon
Secretary
Federal Maritime Commission
800 North Capitol Street, NW
ROOM 1046
Washington, DC 20573-0001

Re: FMC Docket No. 19-05

Dear Ms. Dickon,

SSA Marine Inc. (SSA) appreciates this opportunity to offer the following comments with respect Docket No. 19-05, the FMC's proposed rulemaking designed to interpret circumstances when the use of demurrage and detention fail to be "reasonable".

It is well-recognized that the primary purpose of detention and demurrage is to provide an incentive for cargo interests to remove their cargo from the terminal promptly or to return equipment in a timely manner. SSA will routinely waive demurrage if any of our terminals are unexpectedly closed or if there is any other matter preventing a trucker access to a marine container that can be attributed to the operation of the facility. For example, if we are unable to access a container or if part of the yard is closed, demurrage is waived. Our current system has worked very well in resolving disputes informally and amicably, without the time and expense of litigation. It is important to recognize demurrage serves a dual purpose. First, demurrage and detention influence the behavior of containers and equipment to maximize the efficiency of the supply chain. Second, marine terminals are not warehouses. We pay rent to port authorities for some of the most expensive property on the waterfront. When free time is exceeded, we trust the FMC would agree that we are entitled to recover costs and through progressively increasing tariff rates encourage the cargo to move.

Marine terminals are by design structured to move cargo, not store cargo, and consequently marine terminals do not desire any demurrage to be incurred. On the contrary, cargo should move, and demurrage is designed for that purpose, i.e. after a given set of free days, encourage cargo to move.

What is proposed by the FMC would likely result in an explosion of time-consuming and expensive litigation overseen by the government instead of encouraging the parties to resolve issues. The proposed rule includes a "non-inclusive" list of circumstances when demurrage is presumed not to be reasonable, which means the examples identified in the NPRM are not finite, but there could be any number of circumstances brought to the FMC depending on what is viewed as "unreasonable". The proposed rules are not explicit and interpretations of what is reasonable or not will not be resolved commercially. On the contrary, disagreements over demurrage will undoubtedly culminate in the significant promotion of government adjudication of disputes, both formal petitions and with CADRS.

Aside from the list of examples that are deemed unreasonable (matters typically beyond marine terminal operator's control) the FMC proposes to waive demurrage when terminals do not maintain appointments. We would simply observe that this is a federal rulemaking affecting every terminal in the country. There are many cases where container volume does not warrant appointments, but this rulemaking would still waive demurrage if a terminal failed to provide them.

The proposed rule also requires marine terminals to use means to "push" information to shippers. Commercial platforms currently exist and are widely used by ocean carriers for their customers, but the determination to use such services are a commercial decision based on market demand and the cost-benefit analysis of such use. These platforms vary in the degree of sophistication, but real time status reports are available pertaining to import and export cargo availability, fees due, container holds, container location, terminal operating hours, and a wide variety of other information. Existing services have been in place throughout the United States, most notably Advent/eModal, where a platform exists in ports that is tailored to user demands, regardless of how sophisticated their needs. We are therefore perplexed why the FMC wants to regulate demurrage to "push" systems that, in effect, will require all marine terminals (including break-bulk facilities) to use information systems already in use but determined by commercial needs. On the other hand, there are those terminals with less volume that may not necessarily need a push system. The terminals, not the federal government, should be making these decisions based on market needs and considerations.

The proposal also seeks to waive demurrage attributed to government holds. Demurrage for government holds vary at marine terminals throughout the country. For example, we typically waive demurrage for any on-dock inspection where the reason for the hold is beyond the control of the shipper. We also waive demurrage for VACIS holds, which are required in the Port of Long Beach tariff. On the other hand, if there is a Customs hold for a manifest examination attributed to an inaccurate piece count, we will assess demurrage because that is in the control of the shipper. Again, our policy is that when holds are beyond the control of shippers, demurrage is waived. When government holds are caused by reasons attributed to the shipper, demurrage is assessed beyond free time, and the container will not be released until demurrage has been paid.

In summary, the footprint of a marine terminal is finite, yet container volumes are projected to increase in the future. Reducing container dwell time is our priority, as is moving cargo through the facilities and utilizing marine terminals and the substantial capital invested optimally for the interchange between sea and land. Marine terminals are not warehouses for storage purposes.

Demurrage is only intended to influence the movement of containers and help avoid terminal congestion and ensure an adequate supply of equipment, both of which are critical to the smooth and efficient operation of the supply chain. Requiring that demurrage be waived when a terminal fails to provide appointments is not a panacea to solve congestion, which can be complex and solutions to the

issue multifaced. Similarly, requiring all terminals in the country waive demurrage or use a "push" system is extreme. Push systems exists today at many terminals. Like terminal appointments, it is a popular concept thought to eliminate congestion. Decisions to use a push system are market driven, and one tool used by terminals to enhance their throughput capabilities. There is no need for regulations to coerce all terminals in the country to implement appointments or push systems. Push systems and digitalization are rapidly advancing at US ports. Let the market decide where they are used. There is no need for government regulation for appointments or push systems. Finally, demurrage and detention disputes have typically been resolved by commercial negotiations, but with the implementation of this rulemaking it will undoubtedly promote government adjudication of an undetermined number of disputes rather than relying on commercial remedies to resolve such matters.

Sincerely yours,

A handwritten signature in black ink, appearing to read "Mark Johnson", with a large, stylized loop at the end.

Mark Johnson
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